

FRVO

FRVO N/A

Buy \$33.15 ▼ 8.83% 12M Price Target \$48.00 52-Week Range \$32.39 – \$42.65 Market Cap \$9.75B

FRVO: Profit-Taking Day, But Story Still Intact

WHAT'S CHANGED

- Stock dropped almost 9% today after a huge run-up — classic "buy the rumor, sell the news" after yesterday's Nvidia AI partnership headlines pumped it up
- RBC reiterated that the first 33 megawatts at the Utah geothermal project are on track to come online — that's the validation point investors actually need

IMPLICATIONS

Yesterday the stock ripped because Nvidia is using Fervo's data in an AI model that figures out the best places to drill for geothermal — basically AI helping them find hot rocks faster and cheaper. Today's pullback is just traders taking profits after that spike, not a fundamental problem. The bigger picture: Fervo is becoming the go-to name when people talk about powering AI data centers with clean baseload energy (meaning 24/7 power, not just when the sun shines).

VALUATION

At \$9.75B market cap on roughly \$285M of expected 2026 revenue, you're paying about \$34 for every \$1 of sales — that's expensive for an energy company but cheap if you believe they're really a "tech-enabled" energy play. For context, traditional utilities trade at 2-3x sales. The premium is justified ONLY if their Cape Station project (400 MW in Utah) comes online on time and proves geothermal can scale — if it does, today's price looks cheap in two years.

KEY RISKS

- They lose money on every project right now and need to keep raising capital — that means they could issue more shares, which dilutes what you own (your slice of the pie shrinks)
- Drilling is hard and expensive — if they hit unexpected geological problems at Cape Station, costs blow out and the timeline slips, which kills the stock
- The whole bull case depends on AI data centers signing massive power deals with them — if Big Tech decides nuclear or natural gas is easier, geothermal gets sidelined

RECENT NEWS

Fervo Energy Still on Track to Bring Initial 33 MW Online at Utah Geothermal Project, RBC ... MT Newswires · 2026-06-23 14:58

This Bill Gates-Backed Energy Stock Is Rising After Big Earnings Miss Barrons.com · 2026-06-22 19:24

Nvidia (NVDA) Takes Its AI Platform Into Geothermal Energy With Fervo And PNNL Simply Wall St. · 2026-06-22 18:15

Fervo Energy Shares Jump on Geothermal Digital Twin Initiative (FRVO) InvestorsHub · 2026-06-22 12:44

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-06-23 19:39 UTC

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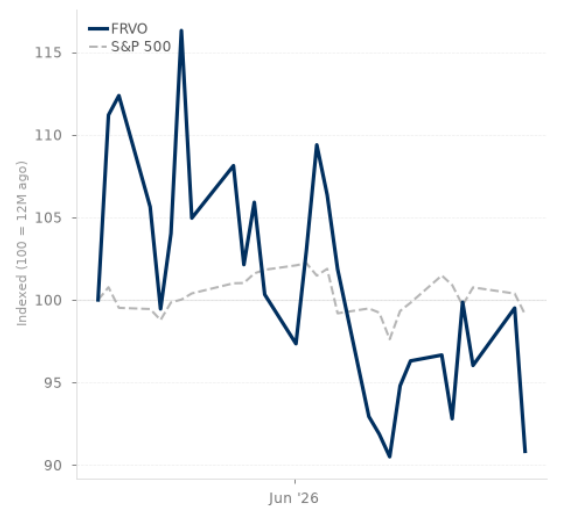
Key Data

Price (USD)	\$33.15
12M Price Target	\$48.00
Upside / (Downside)	+44.8%
Market Cap	\$9.75B
FY2026E Revenue	\$285M
FY2027E Revenue	\$520M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$40.00	\$36.00	\$30.00
6 Months	\$50.00	\$42.00	\$28.00
1 Year	\$65.00	\$48.00	\$25.00
2 Years	\$85.00	\$60.00	\$22.00
5 Years	\$150.00	\$90.00	\$18.00
10 Years	\$300.00	\$160.00	\$12.00

SECTOR INTELLIGENCE

HEATING UP: Consumer staples, real estate, and healthcare — classic defensive rotation, money playing it safe

COOLING OFF: Communication services got hammered this week (-4%), tech feeling some pressure

ROTATION WATCH: Money is moving out of growth/tech into defensive sectors like staples and utilities — that's usually a sign investors are getting nervous about the broader market. Utilities being up is actually good for FRVO since people lump geothermal into "next-gen utility" thinking.

RELATED PLAY: If geothermal scales, the drilling service companies and specialty steel/pipe suppliers benefit too — think names like Baker Hughes (BKR) which actually has a geothermal partnership angle.

OUTPERFORMERS & PEER CONTEXT

- NVDA (Nvidia): The AI infrastructure king — and now they're literally partnering with Fervo, which is why yesterday's pop happened
- CEG (Constellation Energy): Up huge over the past year because they signed a massive nuclear power deal with Microsoft for AI data centers — same playbook Fervo is trying to run

FRVO CONTEXT: Lagging the AI-power theme leaders like CEG and VST, but that's because it's earlier-stage. If you believe the data center power story, Fervo is the higher-risk, higher-reward version of the same trade.

INVESTMENT STRATEGY

6/10 Conviction Score

CONVICTION: 6/10 — I like the story a lot, but the stock is volatile and the company isn't profitable yet, so I'm not betting the farm.

POSITION SIZE: 2-3% of portfolio — small enough that if it drops 50% you don't lose sleep, big enough to matter if it triples. This is a "swing for the fences" stock, not a core holding.

ENTRY POINTS: I'd wait for it to settle in the \$30-33 range before adding. Don't chase it on green days — these names always give you a pullback.

TIME HORIZON: 18-36 months. The real catalyst is Cape Station coming online and proof points on cost-per-megawatt. You need patience.

WHEN TO BAIL: Sell if (1) they announce a big dilutive stock offering at a low price, (2) Cape Station timeline slips into 2028, or (3) drilling cost guidance goes up more than 20%.

HEDGING: The options flow today shows traders betting on upside (way more calls than puts, ratio of 0.22 — bullish). If you want protection, buy a put option a few months out at the \$28 strike — costs you a little premium but caps your downside if the story breaks.